



Venture Capital

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Co-Founder & CEO, Astraea

Founding CEO, Everactive

Who am I?

Last 12 Years: Entrepreneur



Self Powered IoT Platform
2012



Satellite & Geospatial AI
2017



Cold Chain as a Service
2024



Private Credit for ESOPs
2024

Board Director / Advisor



MRI for Body composition



Vertical Farm / CEA



Near-Peer College Counseling

Adjunct Professor

Also a “recovering” Venture Capitalist



1994-1997



1998-2006



2009-2012

Venture Capital

?

Two Questions



True or False?

The reputation of Venture Capitalists
as selfish, arrogant, greedy jerks
is
DESERVED?

TRUE!!

But . . .

it's because their “job” is nearly impossible.

*And MOST Venture Capitalists
ultimately fail.*

Venture Capital is:

Early Stage
EQUITY Financing
for *promising*
Companies

jetBlue
AIRWAYS

DELL™



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KAYAK

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E*TRADE

STAPLES

YAHOO!



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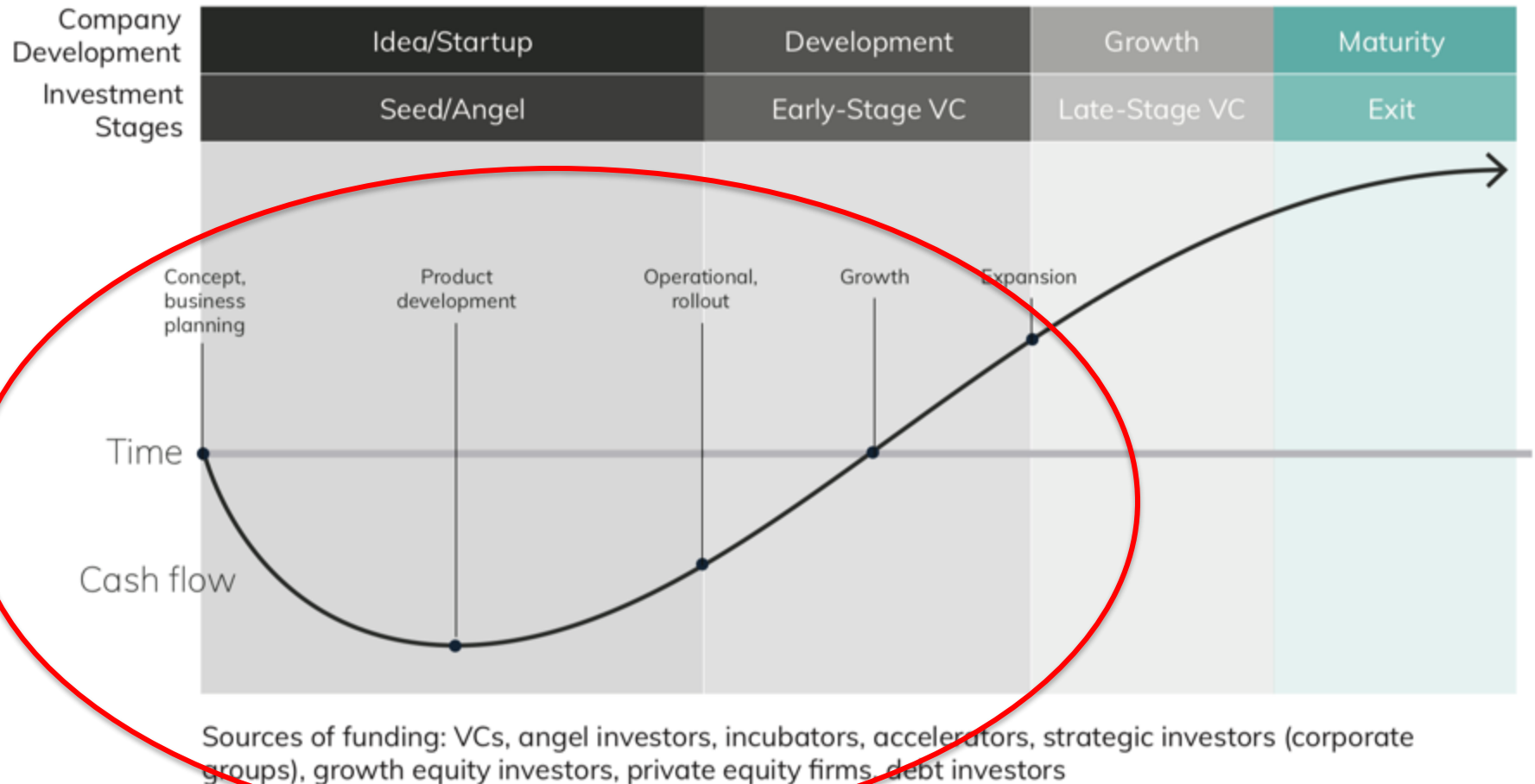
WhatsApp

Square

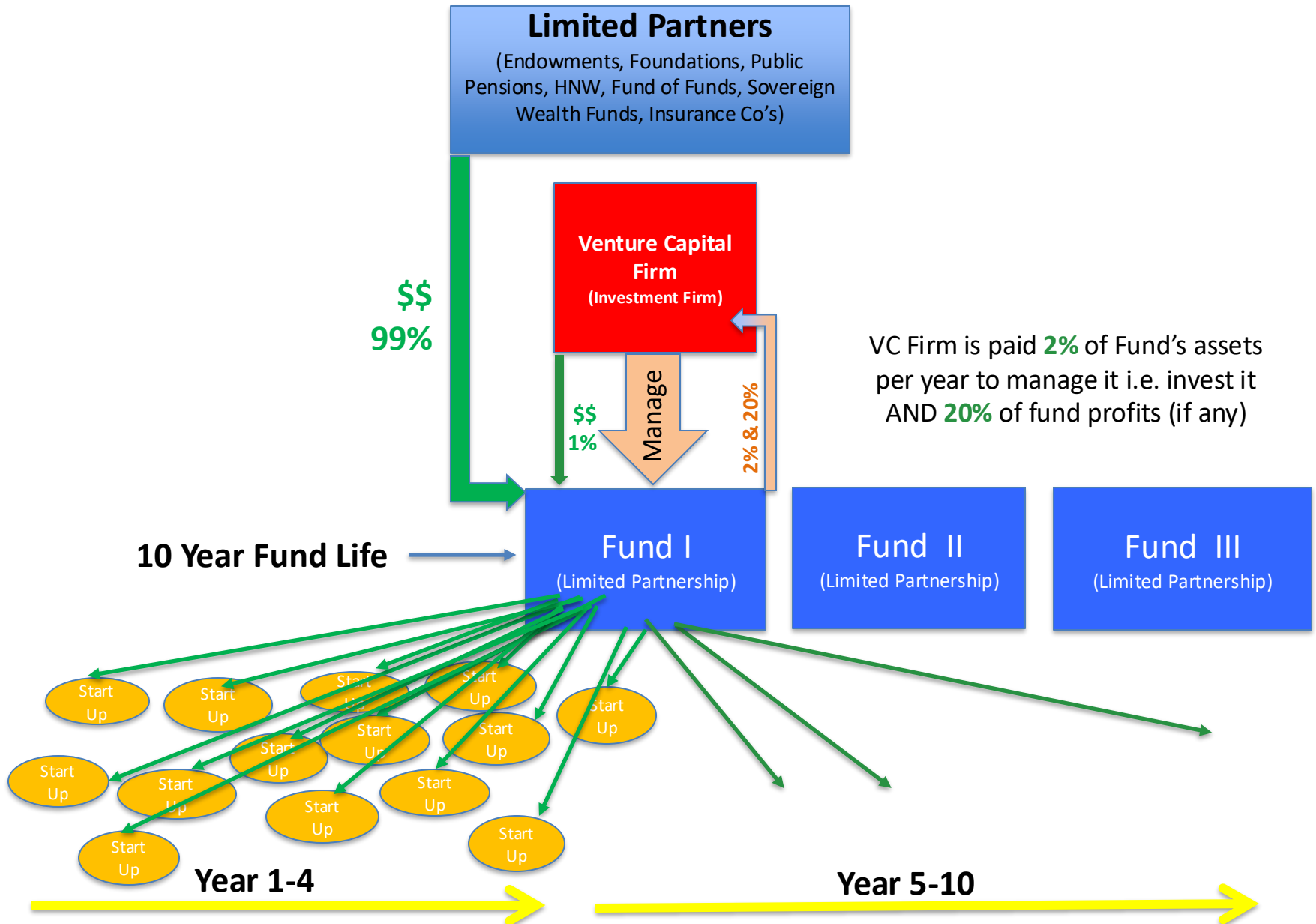
UBER

Often critical to get early companies to scale

Venture Capital Plays a Vital Role in a Startup's Growth

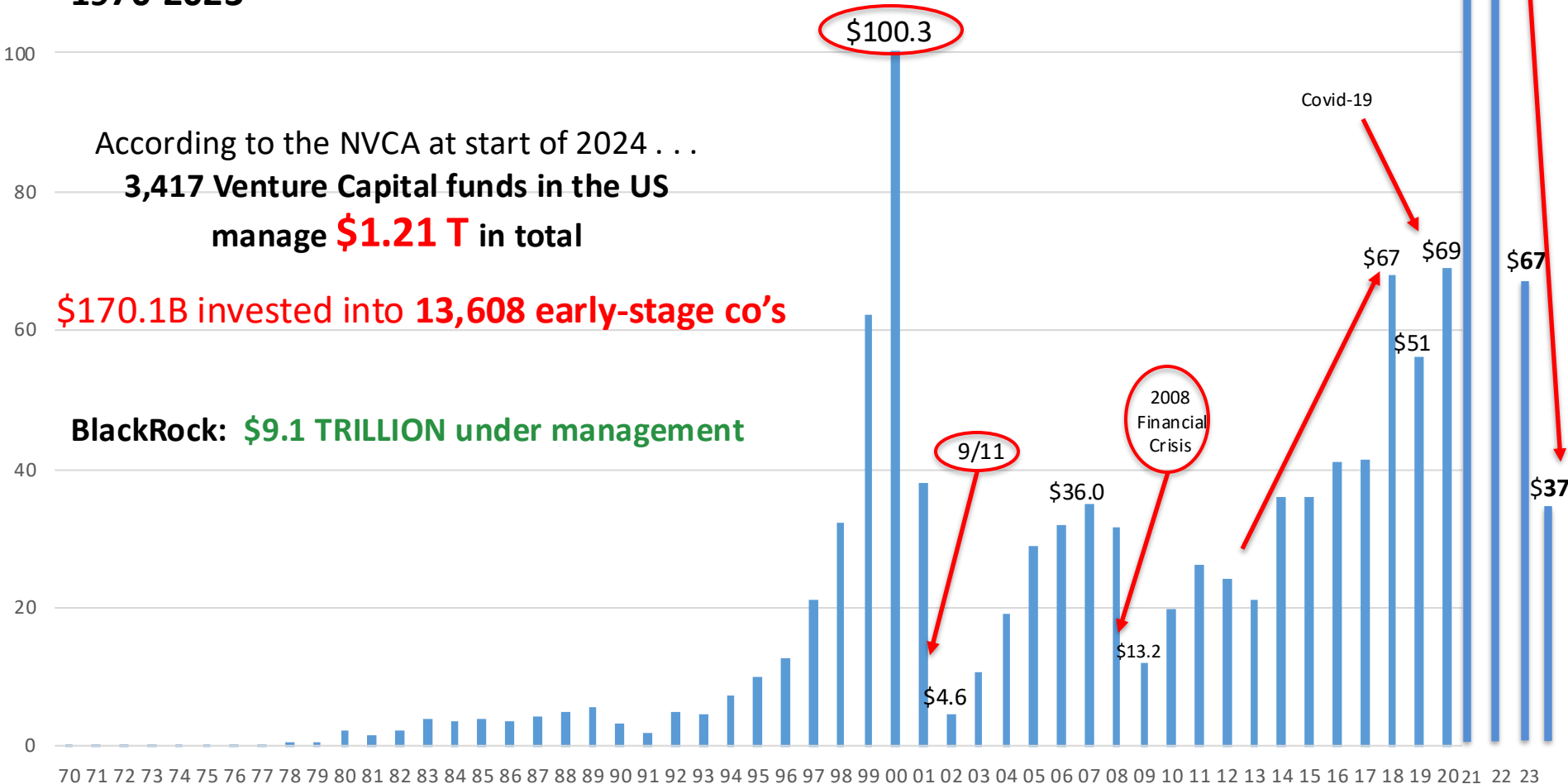


How does Venture Capital work?

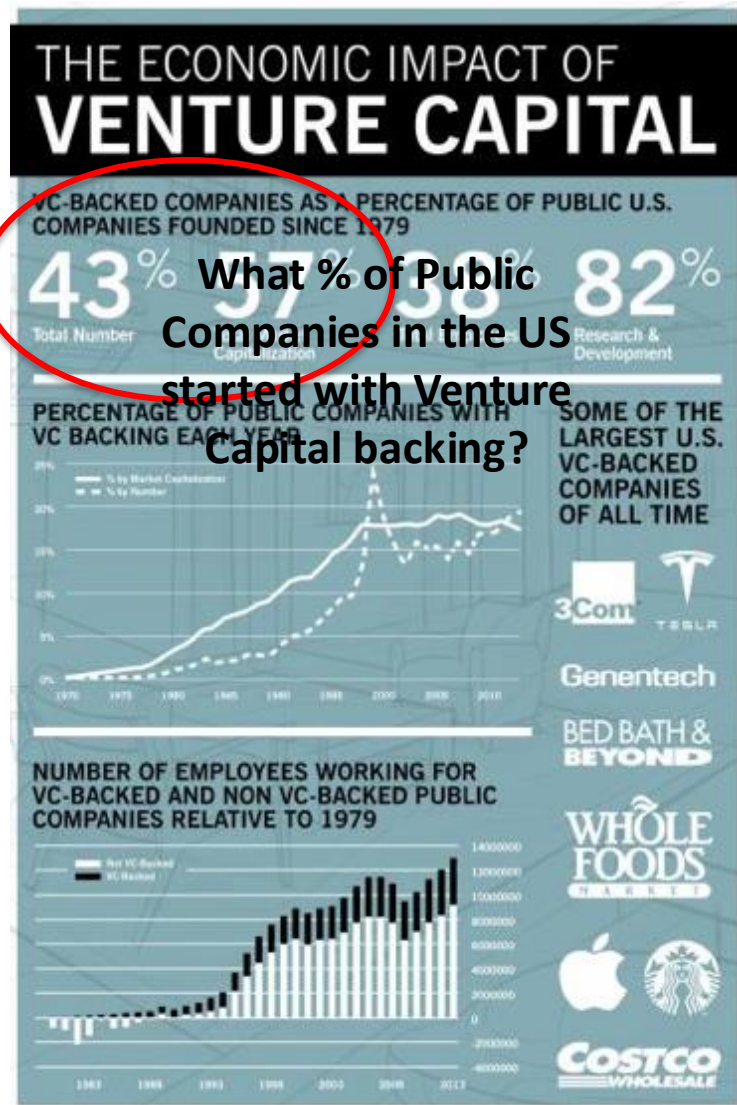


Venture Capital has grown tremendously

Limited Partner Dollars committed to U.S. venture funds, in \$Billions
1970-2023



Importance to the Economy?



Top 10 Companies by Market Cap

1. Apple (\$3.3 Trillion)
2. Microsoft (\$3.2 Trillion)
3. NVIDIA (\$2.8 Trillion)
4. Alphabet (Google) (\$1.9 Trillion)
5. Amazon (\$1.9 Trillion)
6. Saudi Aramco (\$1.7 Trillion)
7. Meta (Facebook) (\$1.4 Trillion)
8. Berkshire Hathaway (\$984 Billion)
9. TSMC (\$867 Billion)
10. Eli Lilly (\$815 Billion)

**7 of top 10 were VC backed
(>80% by Capitalization)**

And yet . . .

Venture Capital is the **NOT** the primary source of start-up funding
Only 3% of small businesses raise VC

The Majority of Venture-backed start-ups FAIL
>50% fail outright and >70% fail to return the capital invested

Most VC FUNDS **fail** to generate the returns *their* investors expect
>80% of VC funds FAIL to deliver sufficient risk adjusted returns

The VC industry as a whole *loses* money in most years
and over the long term

Most VCs actually have very little of their own money “at risk”
99% of the \$ they invest is someone else’s

For every one of these...

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UBER

There are 10 of these . . .



Lots and lots and lots
of failure. . .

2022

547 Start-ups
\$1.5B invested

2023

399 Start-ups
\$3.6B invested

2024 (so far)

198 Start-ups
\$3.2B invested

Why?

Why do so many VC-backed
start-ups fail?

Why are VCs so BAD at their job?



Very High Ambitions

+

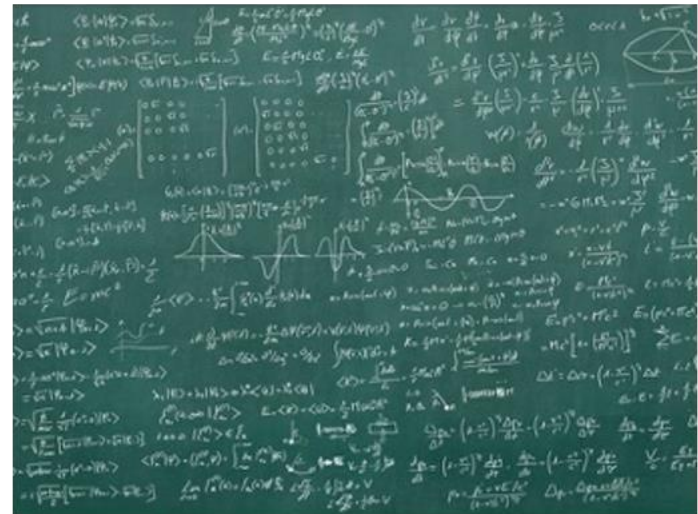


Predict (or create) the Future



With really blurry vision

+



Some really hard math

VCs are trying to achieve **very high** returns for their investors (Limited Partners)

By investing in **very high potential** but **very risky** businesses

Very early in the Company's life so they can acquire a BIG stake for *relatively* little \$ money

But these companies often take a **long time** to pan out

Ambition:

Achieving Very High returns



VC Funds are backed by Limited Partners (LPs)
Endowments & Foundations / Pension Funds
Sovereign Wealth Funds / HNWs / Insurance Co's / etc.

\$\$ is Committed for 10 years (i.e. a long time)
To give the VC time to grow the start-ups to success

LPs want a 30% net *annualized* return (IRR)
NOT 30% in total. 30% *annualized*
Roughly translates to **4X** original investment or greater
Why? Illiquidity & Risk

Kind of like taking \$ from a LOAN SHARK
& then going to Las Vegas to bet it all.

Finding High Potential Investments



VCs take that money and invest in early-stage businesses with GREAT potential for GROWTH

NOT Businesses that grow steadily at 10-20% per year.

VCs need companies that have 100% or greater per year growth potential

Typically look for technology start-ups that . . .

Can scale quickly &

have ENORMOUS potential end markets.

Think Instagram, Snapchat, Uber or “Cold Fusion”.

But which probably DON’T yet have. . .

Profits or Revenues or even an *actual market* yet



Might just be a crazy “idea” in a garage



Picking the next...?



1969

Nobel Laureate

Wimbledon Champ



Super Bowl QB



H. David Politzer

2004 Nobel Prize Winner in Physics
"discovery of asymptotic freedom in quantum
chromodynamics"

Would you invest this team?



150X MOIC

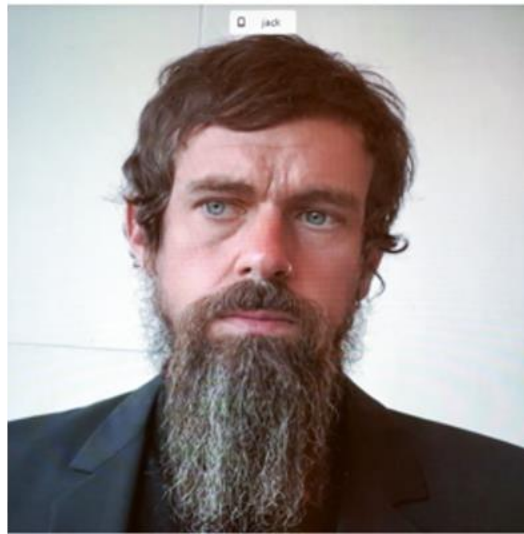


245X MOIC

This dude?



twitter



 Square

“Success”

rarely (i.e. NEVER) goes according to original plan...



1. “Original Idea” that *seems* terrible/simplistic/unrealistic
2. Widespread skepticism from “experts”
3. Founding team persists (strong willed, stubborn idiocy)
4. Idea & business morphs / pivots / re-trenches
4. Often a “Near Death Experience” happens
5. Breakthrough! Then GROWTH, GROWTH, GROWTH
6. Success!!! Exit!!! (*either acquisition or IPO*)
7. Company marketing department *re-writes* the history to reflect the OBVIOUS and INEVITABLE genius of the Founders



BackRub is a "web crawler" which is designed to traverse the web.

Currently we are developing techniques to improve web search engines. We will make various services available as soon as possible.

Sorry, many services are unavailable due to a local network failure beyond our control. We are working to fix the problem and hope to be back up soon.
12/4/97

We have a demo that searches the titles of over 16 million urls: [BackRub title search demo](#)

BackRub search with comparison (type in top box, ignore cgi-bin error) New systems will be coming soon.

Some documentation from a talk about the system is [here](#).



When Google started. . .

Web Search Engine Market *circa 1998*

- Yahoo



- AltaVista



- AskJeeves



- Webcrawler



- Inktomi



- GoTo.com



- DirectHit



- msn



- InfoSpace



- Go.Com



- InfoSeek



- Northern Light



- Lycos



- Excite



- HotBot



- Looksmart



- AOL.com



- Dogpile



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BackRub launches in 1996 at Stanford.

Google

1998 Incorporates as Google when Andy Bechtolsheim & David Cheriton each invest \$100K
Move company off campus and into a Palo Alto GARAGE
Vastly superior search.
NO revenue model.

In early **1999**, Excite CEO, George Bell, makes an offer to **BUY** Google for **\$1M**.

Sergey Brin & Larry Page **ACCEPT!**

But the Excite Board rejects the idea as too expensive.

Then reject it again @ **\$750K**.



Google traffic continues to grow voraciously. S&L raise **\$25M** from two VCs (Sequoia & Kleiner Perkins) in June 1999. They did **NOT** find a revenue model *until* **2002**.



(3 years after raising money)

8/19/2004: Google IPO
TTM Revenues were \$903M
Market Cap after the 1st day of trading was **\$27.2B**

Excite, (Excite@Home) was no longer around, having declared bankruptcy in February 2001.

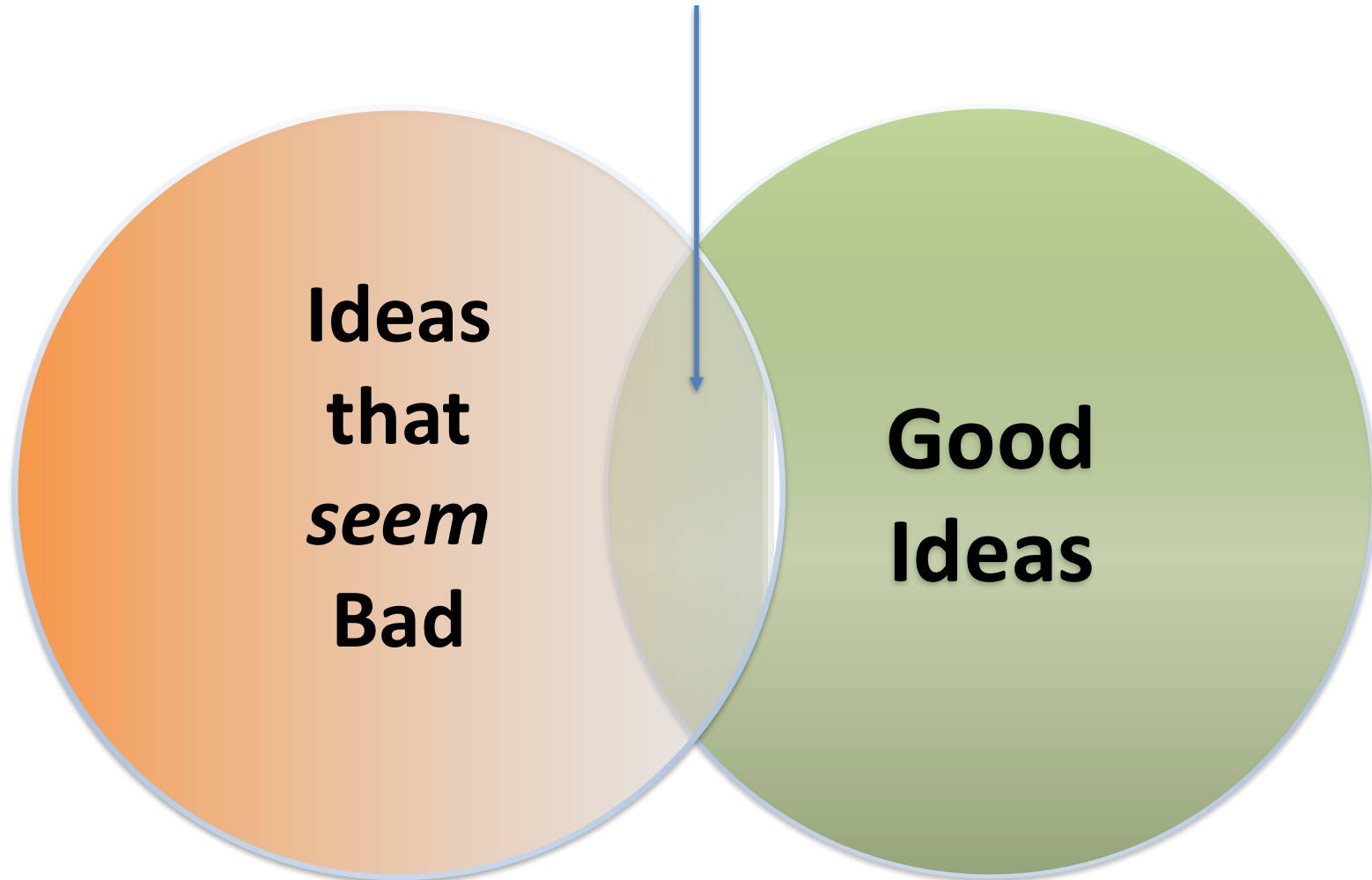
KP and Sequoia each made **344X** their original investment

Alphabet Market Capitalization = **\$1.9 Trillion**

The Start-Up IDEA “Sweet Spot”

(credit: Peter Thiel)

Sweet Spot



**Ideas
that
seem
Bad**

**Good
Ideas**



Even the best VC firms miss many great deals

<http://www.bvp.com/Portfolio/AntiPortfolio>



- Investing in start-ups since 1911
- One of the most successful VCs of all time
- 100+ Companies have gone public
- >25% **NET** IRR to LPs over 50 years
- 1st investor in Skype (100x return)
- **Dicks Sporting Goods, Yelp, LinkedIn, Pinterest, Twilio, Twitch, Box, Yelp, Docusign, Shopify, Bumble. . .**



FedEx



intel



KAYAK

ebay

PayPal



zoom

coinbase



If you are a Venture Capitalist . . .

And really, really good

Or really, really lucky . . .

Only 50%
of your start-up investments
will
FAIL

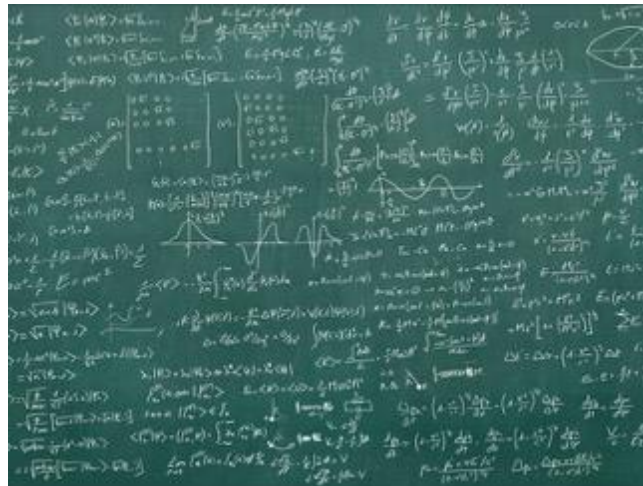
30% net annualized IRR

+

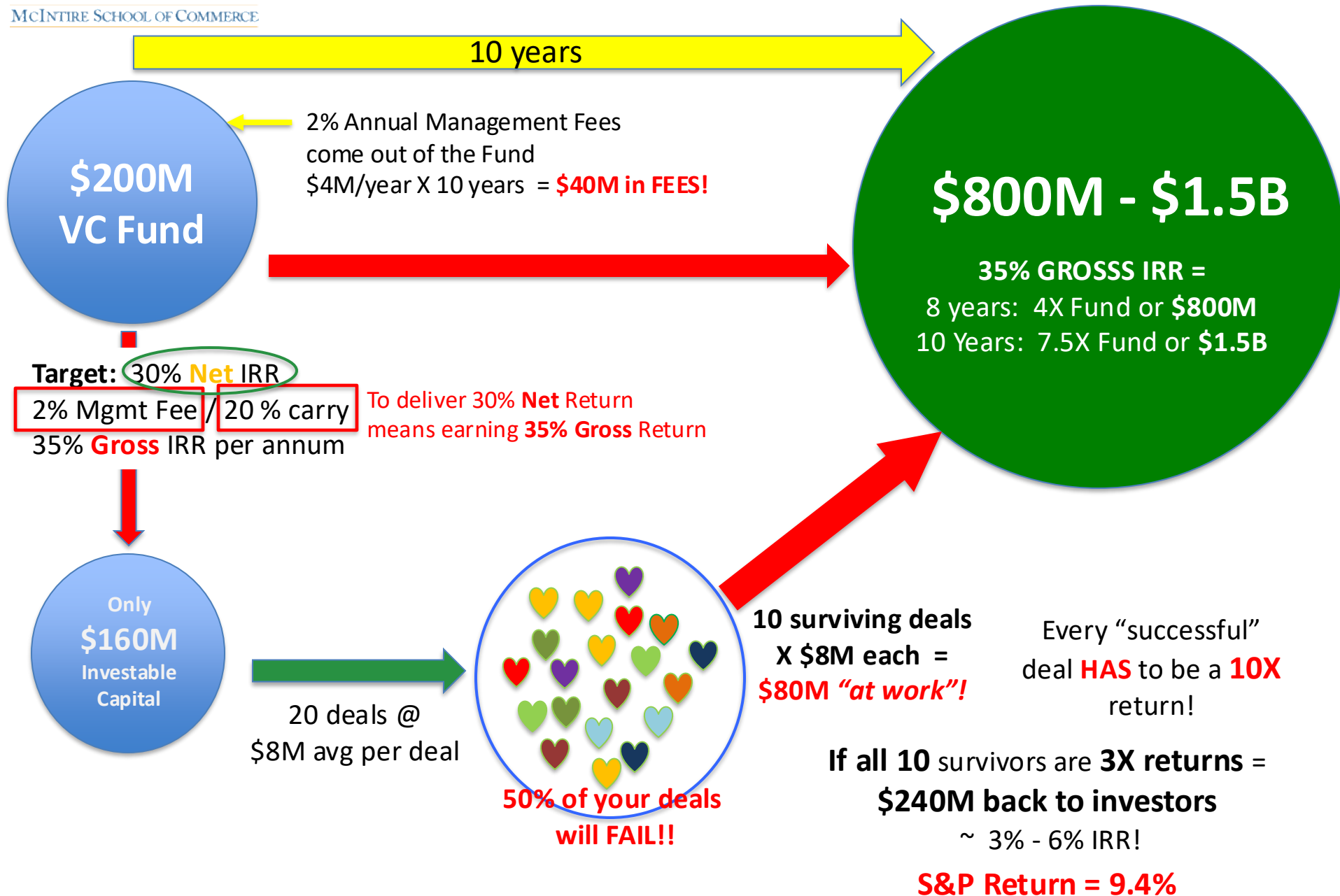
50% loss ratio

=

Some DIFFICULT Math



Need 1 or 2 deals to be a 25X to 100X returns



Which means

Every deal you look at and consider . . .

Has to have that **25X – 100X potential** in your mind



This also forces VC backed start-ups
to often act like sociopaths



zume

theranos

wework

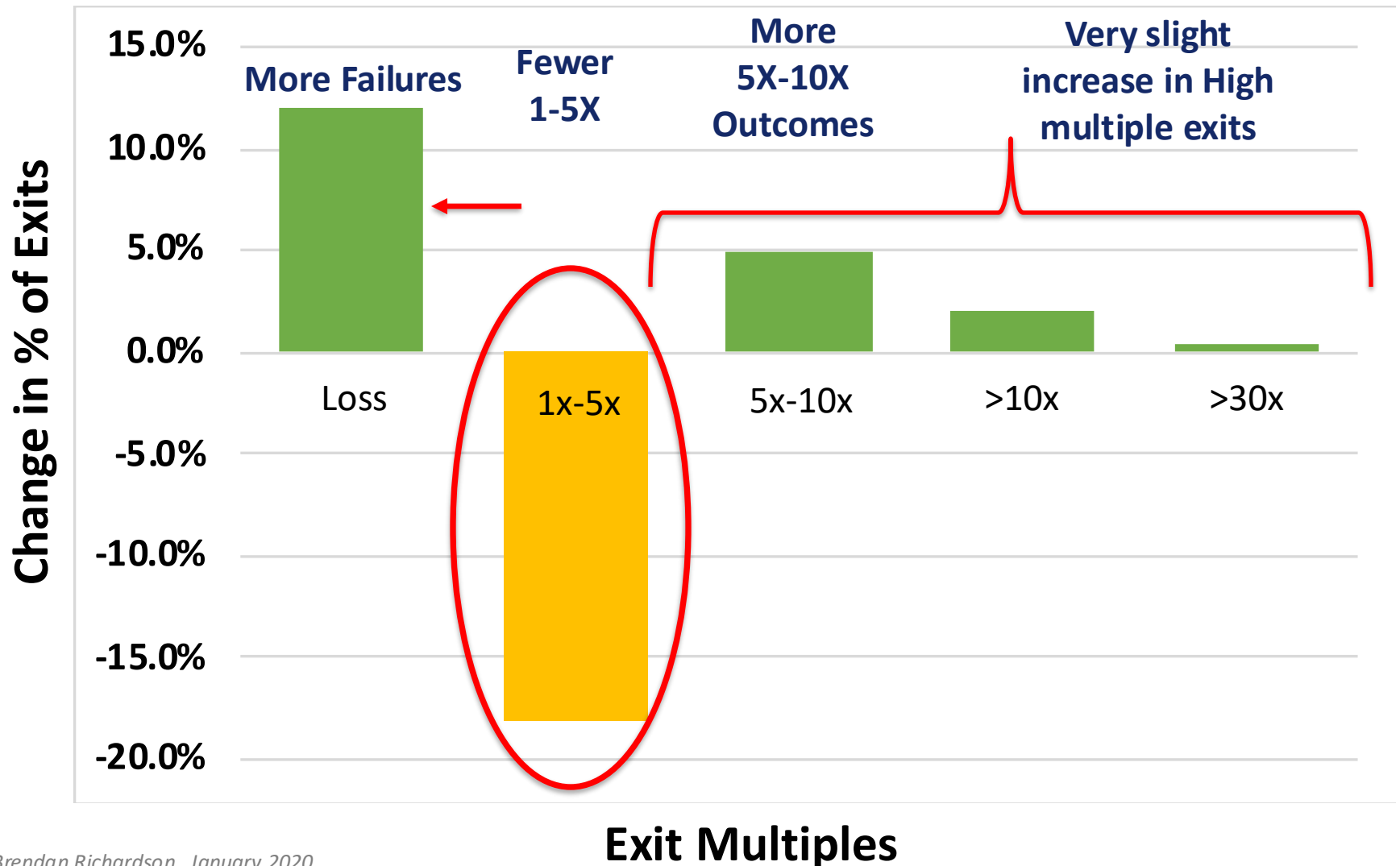
Uber

amazon

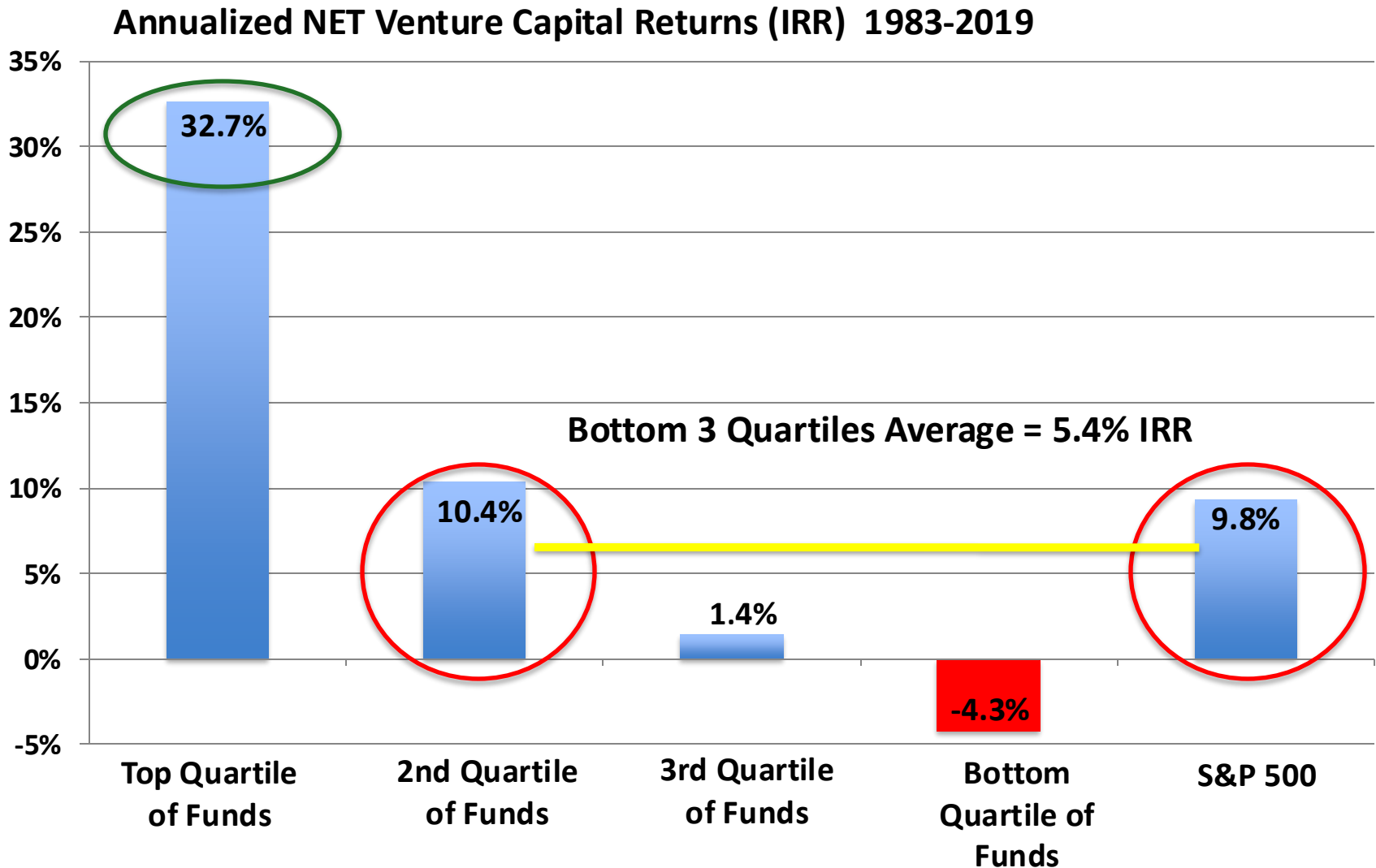
The Amazon logo features the word 'amazon' in a bold, dark grey sans-serif font. Below the text is a thick, orange curved arrow that starts under the 'a' and points towards the 'n', resembling a smile.

Taking VC creates a LOT of Pressure

What happens when VCs invest in a Start-Up?



Quartiled VC Returns



Are VCs jerks?

Not all . . .



Greg Papodopoulos

NEA®
New Enterprise Associates®



Forest Baskett



Eileen Lee



Solomon Hailu

But many come across as jerks . . .

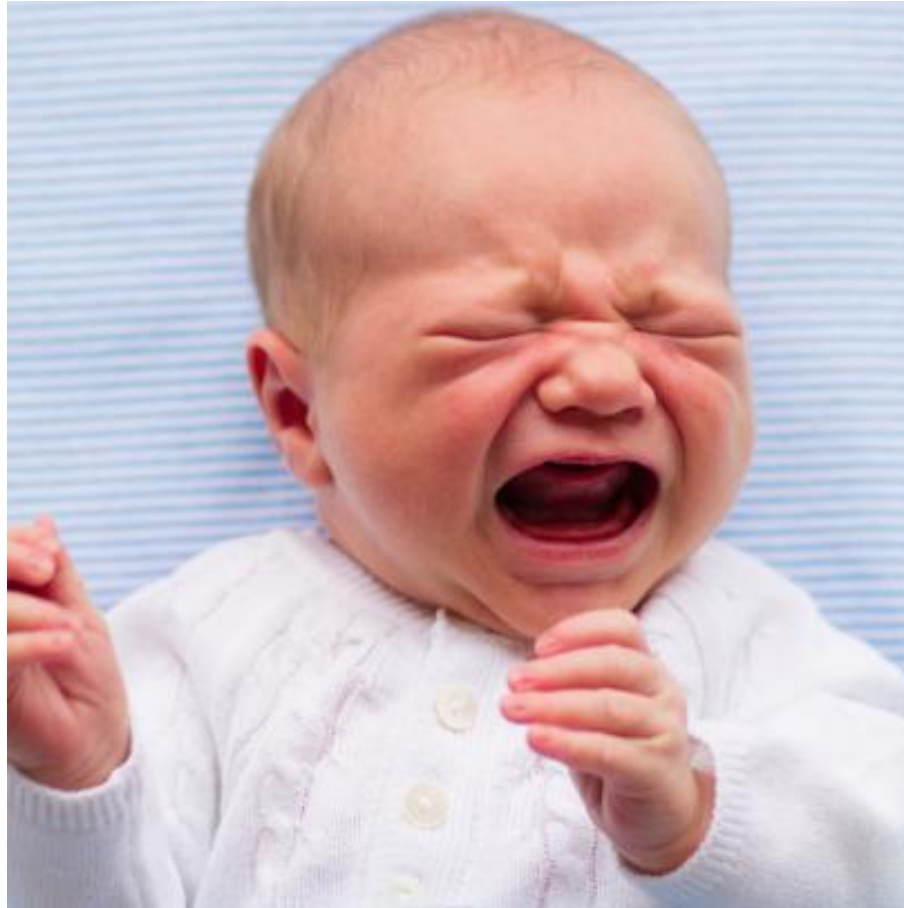


Because many are actively, albeit slowly,
failing at their jobs.

i.e. they are NOT generating 30% returns
for their investors

Or anywhere even close

Most VCs sleep like Babies!



Most VCs probably could use a good hug



Venture Capital can be transformative for
a start-up . . .

Or destructive . . .

Be sure to choose your VC carefully!

Thank you! ! !

Brendan Richardson

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